the modern experience of Third World debt, that now of Argentina, Brazil, Mexico, and the other Latin American countries, is in any way a new phenomenon.

For a decade after the bursting of the debt bubble in 1837, business conditions were depressed in the United States. The number of banks available for financing speculative adventures declined. Then, after another 10 years, public memory faded again. Confidence returned, bank charters exfoliated, bank notes once more became available to finance speculation, and in 1857 there was another panic and collapse.

Meanwhile there had been an experience of leverage that would have seemed formidable to T. Boone Pickens or even Michael Milken and the once-great house of Drexel Burnham Lambert. State regulation required banks to hold reserves of hard coin against their outstanding notes. This was to limit in a sensible way the length of the lever. Bank examiners enforced this requirement, but the enforcement was on a par with that recently of the regulations on the savings and loan industry. At the outer extreme of compliance, a group of Michigan banks joined to cooperate in the ownership of the same reserves. These were transferred from one institution to the next in advance of the examiner as he made his rounds. And on this or other occasions, there was further economy; the top layer of gold coins in the container was given a more impressive height by a larger layer of tenpenny nails below. But not all of the excesses of leverage were in the West. In these same years, in the more conservative precincts of New England, a bank was closed up with $500,000 in notes outstanding and a specie reserve of $86.48 in hand.

The Civil War did not alter the sequence of speculative boom and bust, but it shortened the interval between episodes. As the wounds of war healed in the late 1860s and early 1870s, there came one of the greatest of speculative booms portending the economically and politically devastating panic of 1873.

The preceding years were ones of generally increasing and pyramiding values and generally euphoric conditions in manufacturing, farming, and public construction. Increasing values again brought increasing values. As with the canals and turnpikes, it was transportation, this time the railroads,